

Competitive Analysis and Strategy

Course notes - Department of Management

1. What strategy is

Strategy is the choice of a distinctive position and the alignment of activities to sustain it. It is defined as much by what the organisation declines to do as by what it pursues.

Operational effectiveness - doing the same activities better - is necessary but imitable, and competition on it alone converges toward uniformity and eroded margins.

2. Industry analysis

The five forces frame industry profitability: rivalry among incumbents, threat of entrants, threat of substitutes, and the bargaining power of buyers and suppliers. Structure sets the average profitability a participant can expect.

Entry barriers - economies of scale, switching costs, network effects, regulation - determine how durable incumbent profits are.

3. Internal analysis

The resource-based view locates advantage in resources that are valuable, rare, hard to imitate and supported by the organisation. Tangible assets rarely qualify; capabilities and accumulated know-how more often do.

The value chain decomposes the firm into activities, distinguishing those that create differentiation from those that merely add cost.

4. Generic strategies

Cost leadership competes on efficiency and scale. Differentiation competes on attributes buyers will pay a premium for. Focus applies either logic to a narrow segment.

A firm attempting both broadly risks being stuck in the middle, carrying the cost base of differentiation without its pricing power. The exception is where a genuine innovation shifts the frontier rather than trading along it.

5. Corporate strategy and execution

Corporate strategy decides which businesses to be in. Diversification only creates value if the businesses are worth more together than apart, which is a demanding test that many acquisitions fail.

Execution is where strategy is usually lost. Structure, incentives and measurement have to reinforce the chosen position, because an incentive contradicting the strategy will reliably defeat it.